

3.1.3 Production, costs and revenue

3.1.3.1 Production and productivity

Content	Additional information
• Production converts inputs, or the services of factors of production such as capital and labour, into final output. • The meaning of productivity, including labour productivity.	

3.1.3.2 Specialisation, division of labour and exchange

Content	Additional information
• The benefits of specialisation and division of labour. • Why specialisation necessitates an efficient means of exchanging goods and services, such as the use of money as a medium of exchange.	

3.1.3.3 Costs of production

Content	Additional information
• The difference between the short run and the long run. • The difference between fixed and variable costs. • The difference between average and total costs.	Students should be able to calculate average and total costs from given data. Students should appreciate that the short-run average cost curve is likely to be U-shaped but a formal link with the law of diminishing returns is not expected. They should understand that the shape of the long-run average cost curve is determined by economies and diseconomies of scale.

3.1.3.4 Economies and diseconomies of scale

Content	Additional information
• The difference between internal and external economies of scale. • Reasons for diseconomies of scale. • The relationship between economies of scale, diseconomies of scale and the shape of the long-run average cost curve.	Students should be able to categorise and give examples of both internal and external economies of scale.

3.1.3.5 Average revenue, total revenue and profit

Content	Additional information
• The difference between average and total revenue. • Why the average revenue curve is the firm's demand curve. • Profit is the difference between total revenue and total costs.	Students should be able to calculate average, total revenue and profit from given data.